

IRS Information Document Request -- Executive Compensation

IDR Number: IDR-2025-0847 | Tax Year: 2023 | Date Issued: 2025-07-15 | Examiner: Patricia Morales, IRS LB&I

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1. Background

This Information Document Request (IDR) is issued pursuant to the examination of American Express Company (EIN: 13-4922250) for tax year 2023. The IRS Large Business & International Division is conducting a review of executive compensation arrangements under IRC Sections 162(m) and 409A.

The examination focuses on deferred compensation agreements, performance-based incentive structures, and supplemental executive retirement plans (SERPs) for the top five named executive officers.

2. Documents Requested

- a) All employment agreements, amendments, and side letters for Named Executive Officers (NEOs) effective during tax year 2023.
- b) Schedule of all deferred compensation balances as of December 31, 2023, including vesting schedules and distribution triggers.
- c) Board compensation committee minutes from January 2023 through December 2023 addressing executive pay decisions.
- d) Actuarial valuations for SERP obligations as of plan year-end.
- e) Section 162(m) analysis supporting the deductibility of performance-based compensation exceeding \$1,000,000 per NEO.

3. Relevant IRC Provisions

IRC Section 162(m) limits the deduction for compensation paid to covered employees to \$1,000,000. Following the Tax Cuts and Jobs Act of 2017, the performance-based compensation exception was eliminated for tax years beginning after December 31, 2017, subject to transition relief for binding contracts in effect on November 2, 2017.

IRC Section 409A imposes requirements on the timing of deferral elections and distributions from nonqualified deferred compensation plans. Failure to comply may result in immediate income inclusion plus a 20% additional tax.

4. Response Deadline

Please provide the requested documents within 30 calendar days of receipt of this IDR. If additional time is needed, contact the examining agent to discuss an extension. Failure to respond may result in the issuance of a summons under IRC Section 7602.